

**Before the
COPYRIGHT OFFICE
LIBRARY OF CONGRESS
Washington, D.C.**

	)	
In the Matter of	)	Docket No. 2015-6
	)	
Software-Enabled Consumer Products	)	
Study	)	Submitted March 18, 2016
	)	

**REPLY COMMENTS OF THE
MOTION PICTURE ASSOCIATION OF AMERICA, INC.**

I. INTERESTS OF COMMENTING PARTY

The Motion Picture Association of America, Inc. (“MPAA”) is a not-for-profit trade association founded in 1922 to address issues of concern to the U.S. motion picture industry. Its members are: Paramount Pictures Corporation, Sony Pictures Entertainment Inc., Twentieth Century Fox Film Corporation, Universal City Studios LLC, Walt Disney Studios Motion Pictures, and Warner Bros. Entertainment Inc. The MPAA’s members and their affiliates are the leading producers and distributors of filmed entertainment in the theatrical, television, and home entertainment markets. The MPAA’s members distribute copies of those works on DVDs and Blu-Ray discs and increasingly offer their works online as well, including through digital downloads and streaming, thus making those works more readily available to consumers and businesses than ever before.

The issue that is the focus of this Notice of Inquiry (“NOI”) – “the role of copyright law with respect to software-enabled consumer products” – does not directly implicate the business practices of the MPAA’s members, at least as we understand that phrase.¹ However, a number of

¹ As do other commenters on various points of the copyright spectrum, the MPAA doubts that “everyday products” is a meaningful category for making distinctions within copyright law. *See, e.g.*, Public Knowledge Comments at 2 (“[P]utting smartphones in one category and ‘everyday’ products such as software-enabled rice cookers and thermostats in another – would be a mistake.”); Comments of the Owners’ Rights Initiative at 1-2 (“These distinctions [between ‘consumer products’ or ‘everyday products’ and other software-embedded products have little meaning in a world where individuals run businesses out of their homes on their laptop computers, where over 200 million Americans own smart phones that can operate millions of apps, and where an Internet of things is emerging in which a wide range of products have network connectivity that allow them to collect and exchange data.”);

the comments filed in the initial round make broad arguments about licensing of copyrighted works that potentially implicate the distribution of motion pictures and television programs. And the line between “everyday products” and products that provide access to audiovisual works is likely to become increasingly blurry in coming years; we already live, after all, in a world where “smart fridges” boast “Kitchen TVs,”² and cars serve as an extension of the driver’s iPhone, providing easy access to the entertainment content stored within (or in the cloud).³ Thus, while the MPAA did not file comments in response to the NOI in the initial round, we offer the following views to ensure the continued vitality of a licensing regime that has resulted in an unprecedented array of options for consumers to experience the MPAA members’ works.

II. OVERVIEW OF MPAA MEMBERS’ LICENSING PRACTICES

The MPAA members’ distribution of movies and television programs to consumers is increasingly accomplished by providing **access** to such works, rather than via **ownership** of physical media (*e.g.*, DVDs and Blu-ray discs) embodying those works.⁴ Such access-based models typically involve licensing arrangements between the copyright owner and a distributor (*e.g.*, iTunes, Hulu, Comcast, Verizon, etc.), which in turn is a party to a license agreement with the ultimate end-user (the consumer). Together, these licensing arrangements set the terms on which the consumer may experience the work: on what devices he or she may view the work, how long such access will last (*e.g.*, a 48-hour “rental” versus a download), and of course the price of such access. They accordingly facilitate access to creative works on terms that match the customer’s tastes and needs, at affordable price points.

Such licensing arrangements have resulted in a veritable explosion of consumer access to movies and television programs over the past two decades. In the past four years alone, the number of lawful online sources for television and movie content has almost doubled, and the

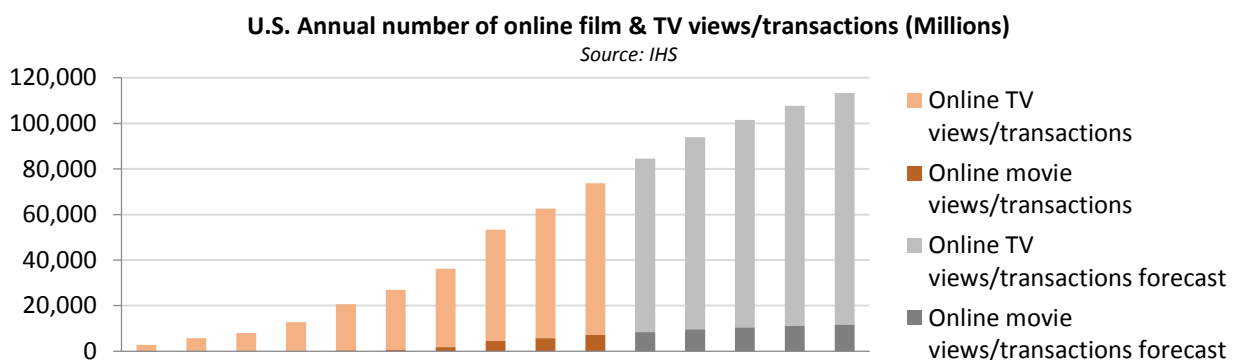
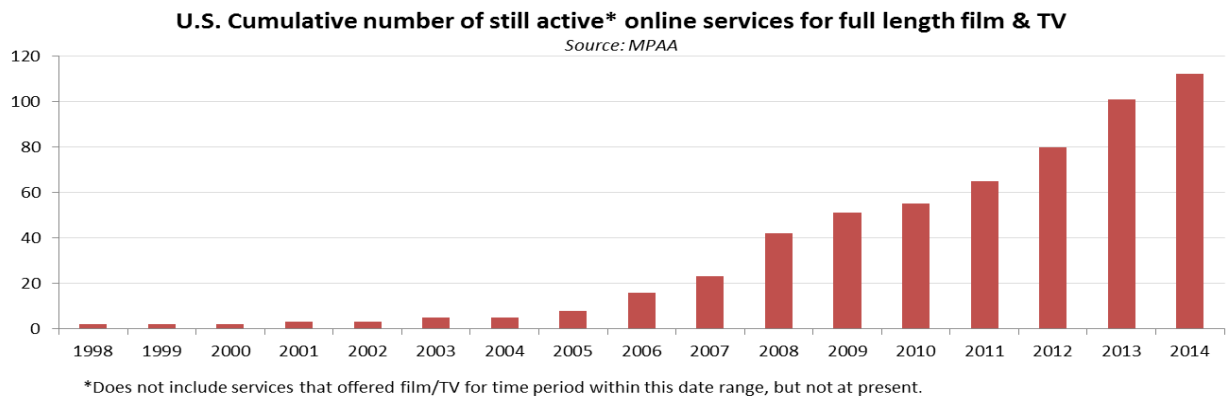
Comments of the Software and Information Industry Association at 11-12 (“The distinction that the NOI purports to draw between ‘everyday consumer products’ and ‘non-everyday’ products would destroy both software providers and manufacturers’ abilities to protect product integrity and is one that the copyright law does not, cannot, and should not draw.”); Comments of the Copyright Alliance at 3 (“Attempting to single out a category of software or types of ‘everyday products’ that could potentially receive different treatment under the copyright law is an approach that is likely to result in inadvertent consequences for software developers and consumers. It would also add layers of complexity to a law that some copyright owners and users already criticize for being too complex and unwieldy.”).

² See *CNET*, “Samsung takes another swing at the smart fridge,” June 11, 2014 (“Aside from the addition of phone mirroring and kitchen calling, Samsung’s new fridge also boasts a new ‘Kitchen TV’ feature. Owners of connected TVs capable of transmitting to external devices will be able to share their antenna’s signal with the smart fridge, and play the broadcast from the kitchen.”), available at <http://www.cnet.com/products/samsung-rf28hmelbsr-4-door-refrigerator-with-8-wi-fi-enabled-lcd/>.

³ See *Ars Technica*, “‘iOS in the Car’ becomes CarPlay, coming to select dashboards this year,” March 3, 2014, available at <http://arstechnica.com/apple/2014/03/ios-in-the-car-becomes-carplay-coming-to-select-dashboards-this-year/>.

⁴ See generally Department of Commerce Internet Policy Task Force, White Paper on Remixes, First Sale, and Statutory Damages (January 2016) at 42 (“Many participants and commenters described a marketplace that is evolving from services involving the distribution of copies to those in which consumers are offered different levels of access at a choice of price points.”).

number of TV episodes and films that viewers have accessed over those services has almost doubled and quadrupled, respectively. American audiences had access to 112 lawful online services at the end of 2014, compared to 65 at the end of 2011; lawfully accessed 66.6 billion television episodes compared to 34.4 billion; and lawfully accessed 7.1 billion movies compared to 1.8 billion. The TV and film numbers are expected to reach 101.6 billion and 11.7 billion, respectively, by 2019.



To meet this demand, the movie and television industry is making content available online to viewers on every type of in-home and mobile screen, including PCs and Macs, smart TVs, tablets and smartphones, gaming systems, and specialized devices, such as the AppleTV and Roku. Some of this content comes through Internet applications offered by cable and satellite companies, such as Comcast’s XFINITY, DirecTV’s DirecTV Everywhere, AT&T’s uVerse Online, Cablevision’s Optimum, Cox’s Cox TV Online, and Verizon’s FiOS TV Online. Many content providers also offer programming directly to subscribers through their own applications, including popular, household-name networks such as A&E, ABC, CBS, CMT, Comedy Central, Disney, ESPN, Fox, Fox Sports, HBO, History Channel, MTV, NBC, Showtime, Sony, Starz, TBS, TNT, and USA. Content providers also license programming to “over the top” services. Subscription and pay-per-view over-the-top (“OTT”) services include Amazon Prime, Facebook, Hulu Plus, iTunes, Netflix, Nintendo Network, PlayStation Network, Sling TV, Sony Vue, VUDU, and Xbox Live. Ad-supported OTT services include Crackle, Hulu, and YouTube. Online distributors are further expanding viewing choices by investing in

original programming. Netflix, Amazon, and Hulu, for example, are all growing the slate of exclusive content they offer, increasingly involving marquee writers, directors, and actors. All of this benefits consumers, who receive a high-quality viewing experience, and creators, who are able to expand their reach, as well as monetize their enormous investments.

In addition, the Digital Entertainment Content Ecosystem consortium of more than 60 studios, retail stores and technology firms has created “UltraViolet,” a digital rights locker for audiovisual content that allows consumers to choose their retailer while having confidence that the quality and experience will be seamless across a wide range of devices. When a consumer purchases UltraViolet media—such as a Blu-ray, DVD or Internet download—she also can access the content on any UltraViolet device registered to her household and stream the content through devices at home or on the go. To date, consumers have set up more than 19 million Ultraviolet accounts. Disney Movies Anywhere similarly provides a cloud-based platform for authenticating access to Disney, Marvel, Pixar and Star Wars content across multiple digital video platforms and devices, including iOS, Android, Apple TV, Chromecast, Amazon Kindle Fire and Amazon Video Fire TV, Roku, Xbox360, and web browsers. Users simply connect their Disney Movies Anywhere account to their accounts with popular digital retail services, which currently include iTunes, Google Play, VUDU, Amazon Video, and Microsoft Movies & TV. Powered by Disney’s KeyChest technology, titles purchased through these participating retailers, or redeemed using the Digital Copy redemption code included in Blu-ray disc packages, are instantly and seamlessly made available to the consumer for both streaming or download across their connected accounts via the Disney Movies Anywhere apps and website.

III. COPYRIGHT LAW SHOULD RESPECT, NOT UNDERMINE, LICENSING ARRANGEMENTS

All of the myriad services described above in Section II depend for their very existence on license agreements among copyright owners, distributors, and consumers. And those services are accessible on a variety of devices, including tablets, smartphones, Internet-connected televisions, and an expanding array of non-traditional computing devices. In those cases, operating systems and other embedded software implement content-related license terms by, for example, preventing the content from being reproduced, distributed or accessed beyond the agreed scope. Thus, the broad recommendations by some commenters to restrict contractual provisions governing that embedded software could undermine the current digital ecosystem that provides unprecedented access and options to content by consumers.

Undermining the ability of copyright owners and distributors to freely enter into licensing arrangements that set the terms by which they offer access to their works would reduce their ability to formulate new, innovative distribution models, thus ultimately harming consumers. The MPAA thus urges the Copyright Office to reject calls by several commenters for changes to the law that would restrict such contractual freedom.⁵

⁵ See, e.g., Computer & Communications Industry Association (“CCIA”) Comments at 5 (urging “reexamin[ation]” of cases upholding licensing provisions against copyright preemption challenges); Comments of Electronic Frontier Foundation (“EFF”) at 1-8; *id.* at 8 (stating that copyright law requires “requires reining in the mischief of EULAs and other contracts of adhesion”).

Courts have correctly recognized that private parties may voluntarily enter into contracts that depart from the default rules of copyright, without running afoul of copyright preemption doctrines.⁶ Courts have also consistently ruled that “[a] licensee infringes the owner’s copyright if its use exceeds the scope of its license.”⁷ The MPAA urges the Copyright Office to re-affirm the validity of such case law, and to reject calls for its reversal.

The Copyright Office should also decline several commenters’ invitation to urge the expansion of the first sale defense under Section 109 of the Copyright Act. Most fundamentally, the Office should reaffirm that, under the express terms of the statute, the first sale defense properly applies only to the “**owner** of a particular copy or phonorecord” – and not to a mere licensee.⁸ It is well settled that “because the protection afforded by § 109(a) is available only to the ‘owner’ of a lawfully made copy,” the first sale doctrine “[does] not provide a defense to a [claim of copyright infringement] against any nonowner such as a bailee, a licensee, a consignee, or one whose possession of the copy was unlawful.”⁹ While *Vernor v. Autodesk, Inc.*, 621 F.3d 1102 (9th Cir. 2010), was criticized in numerous comments by groups skeptical of copyright,¹⁰ the Ninth Circuit was entirely correct in reaffirming the rule that the first sale doctrine is “unavailable to those who are only licensed to use their copies of copyrighted works,”¹¹ as well as in its explication of the test for determining whether a particular transaction constitutes a license or a sale.¹²

⁶ See *ProCD, Inc. v. Zeidenberg*, 86 F.3d 1447 (7th Cir. 1996); *Bowers v. Baystate Techs., Inc.*, 320 F.3d 1317 (Fed. Cir. 2003). Moreover, *Vault Corp. v. Quaid Software, Ltd.*, 847 F.2d 255 (5th Cir. 1988), which certain commenters claim reached a contrary result (see CCIA Comments at 2; Owners’ Rights Initiative Comments at 6) does no such thing. *Vault* analyzed whether a Louisiana statute governing software licenses was preempted – not whether a mere contract between private parties was preempted. See 847 F.3d at 270 (“The provision in Louisiana’s License Act, which permits a software producer to prohibit the adaptation of its licensed computer program by decompilation or disassembly, conflicts with the rights of computer program owners under § 117 and clearly ‘touches upon an area’ of federal copyright law. For this reason, and the reasons set forth by the district court, we hold that at least this provision of Louisiana’s License Act is preempted by federal law, and thus that the restriction in Vault’s license agreement against decompilation or disassembly is unenforceable.”).

⁷ *S.O.S., Inc. v. Payday, Inc.*, 886 F.2d 1081, 1087 (9th Cir. 1989); see also 2 Patry on Copyright § 5:126 (“The transferor may place conditions on the exercise of a license, and any use inconsistent with those conditions or otherwise outside the scope of the license will expose the licensee to an infringement claim, depending on whether the breach is of a condition or covenant, and whether there is automatic recession.”) (footnotes omitted).

⁸ 17 U.S.C. § 109(a) (emphasis added); see also *id.* § 109(d) (first sale defense does not “extend to any person who has acquired possession of the copy or phonorecord from the copyright owner, by rental, lease, loan, or otherwise, without acquiring ownership of it.”)

⁹ *Quality King Distribs., Inc. v. L’anza Research Int’l, Inc.*, 523 U.S. 135, 146-147 (1998) (emphasis added); see also *Apple Inc. v. Psystar Corp.*, 658 F.3d 1150, 1155 (9th Cir. 2011); 2 Melville B. Nimmer & David Nimmer, Nimmer On Copyright § 8.12 [B][1][a] (2013).

¹⁰ See EFF Comments at 7; CDT Comments at 3; Comments of Public Knowledge and New America’s Open Technology Institute at 8 n.19.

¹¹ *Id.* at 1107.

¹² *Id.* at 1108-12.

IV. COMMENTERS HAVE FAILED TO PRODUCE SIGNIFICANT EVIDENCE OF HARM FROM COPYRIGHT LAW OR CURRENT LICENSING PRACTICES

Numerous commenters decry the current state of the law, and copyright owners' licensing practices. But a close reading of their comments reveals not a parade of *actual* horrors, but instead only a set of largely imaginary examples of the alleged ill effects of copyright law and licensing. Vivid hypotheticals may make for lively classroom discussion, but they do not justify potential amendments to the Copyright Act that would diminish copyright owners' rights, upend settled business expectations, and dampen investment in innovative new business models for the distribution of copyrighted works. For example:

- EFF Comments: “But under *Vernor*, there is a significant *risk* that clever drafting of license ‘agreements’ *could undermine* these important rights.”¹³
- Intellectual Property Professors’ Comments: “*if* Mattel decides to clamp down on the secondary market for used toys, it could quite simply refuse to grant permission to aftermarket purchasers to load the software that runs the device. For that matter, so *could* Ford or Volkswagen.”¹⁴
- CCIA Comments: “the omnipresence of software in modern consumer products has greatly improved features and functions for users. CCIA agrees that this raises the *prospect* of copyright law being brought to bear on an increasingly diverse number of contexts”¹⁵ and “[t]he *prospect* that products with embedded software *might* not be transferrable as *Kirtsaeng* contemplates *could have* significant deleterious economic effects.”¹⁶
- Center for Democracy & Technology (“CDT”) Comments: “[u]ncertainty around the copyrightability of APIs *may* deter innovation in software-enabled devices.”¹⁷

EFF’s comments purport to contain actual examples of the ill effects of copyright law as applied to software embedded in devices.¹⁸ But a close review of its examples reveals no such thing. EFF’s examples are simply instances of license agreements it doesn’t like – not examples of the licensor using copyright law to enforce breaches of such licenses. Tellingly, in the EFF

¹³ EFF Comments at 7 (emphasis added).

¹⁴ Comment of Intellectual Property Professors at 3 (emphasis added).

¹⁵ CCIA Comments at 1 (emphasis added).

¹⁶ *Id.* at 2-3 (emphasis added).

¹⁷ CDT Comments at 2.

¹⁸ EFF Comments at 3-4.

comments' section criticizing EULA's, the only actual reference to an example of a copyright owner attempting to enforce a license agreement with a customer is to the facts of the 108-year-old case *Bobbs-Merrill Co. v. Straus*, 210 U.S. 339 (1908) – which of course didn't involve embedded software, and which the copyright owner lost.¹⁹ And to the extent EFF and others disapprove of the terms of EULAs, those concerns are not appropriately addressed through copyright law. Rather, it is state-law doctrines including contract formation and unconscionability that typically govern the validity of such agreements.²⁰

In sum, commenters have not presented any compelling arguments for altering copyright law in light of the issues raised by software embedded in various consumer devices. To the contrary, the comments from numerous groups representing software developers and publishers demonstrate that we are witnessing an unprecedented amount of creativity and innovation in that field fostered by copyright laws that encourage investment in software and numerous other types of works, including the motion pictures and television programs produced by the MPAA's members.

The MPAA appreciates this opportunity to provide our views in response to the NOI. We look forward to providing further input and working with the Copyright Office going forward.

Respectfully submitted,



Benjamin S. Sheffner
Vice President, Legal Affairs
Motion Picture Association of America, Inc.
15301 Ventura Blvd., Bldg. E
Sherman Oaks, CA 91403
(818) 935-5784

¹⁹ Other examples appear to allude to the effects of the anti-circumvention provisions of 17 U.S.C. § 1201, which the NOI specifically instructs are not to be addressed in the context of this study. See 80 Fed. Reg. 240 (Dec. 15, 2015) at 77671 (“The public should not submit concerns about section 1201 through this software study, but rather through the Copyright Office’s forthcoming study on section 1201.”). The MPAA filed comments in response to the Section 1201 Study (Docket No. 2015-8) on March 3, 2016.

²⁰ See, e.g., *Specht v. Netscape Communications Corp.*, 306 F.3d 17, 27 (2d Cir. 2002) (“[S]tate law governs the question of whether the parties in the present case entered into an agreement to arbitrate disputes relating to the SmartDownload license agreement.”) (applying California law to the question whether clicking on a “download” button bound the consumer to a license agreement that included an arbitration clause); *Bragg v. Linden Research, Inc.*, 487 F. Supp. 2d 593 (E.D. Pa. 2007) (applying California law of unconscionability to EULA involving “Second Life” online game).